

The Token Company Compression Challenge

About Us

[The Token Company](#) (YC W26) has raised **\$11.7 million** to build custom context compression models that:

- Reduce token costs by **50%**
- Improve downstream LLM performance
- Enable more efficient and capable AI systems

Challenge

Build your own **compression solution** that reduces the amount of information sent to an LLM while preserving the context needed for high-quality outputs. It could be:

- A compression system for text, code, conversations, documents, or other LLM inputs
- A model, algorithm, or framework that compresses or reconstructs context efficiently
- Any other approach that reduces token usage while maintaining or improving downstream performance

We encourage creative solutions, whether they operate at the model, application, or system level.

Prizes

- **1st Place**
 - **\$2,000** cash
 - **Claude Code 5× Max** for **6 months** for every team member
 - **Boosted interviews** for a full-time **Member of Technical Staff (MTS)** role at The Token Company
- **2nd Place**
 - **\$1,000** cash

Find Us: Booth & Workshop

Meet with the team to discuss compression concepts, ask questions, and learn about the company!

Workshop Location: Floor 5, Tilden Room

Workshop Time: 6:00 PM